

PLUS Loans

Parents of dependent students can also take out loans. The Direct PLUS loan is a federal student loan that lets parents borrow money. To qualify the parent must pass a credit check and will be held liable for the loan. Graduate students can apply on their own and approval is based on their own credit score. The annual limit is the student's cost of attendance minus any other financial aid received. The interest rate is fixed (the rate as of February 2012 was 7.9 percent) and repayment must begin sixty days after the loan is disbursed. The Federal Direct Loan program will charge a 4 percent origination fee, which will be added to the loan amount. Stafford loan rates are generally lower than PLUS loan rates and the payment deferral period is much longer, but there are annual limits on the amount you can borrow and the student will be held primarily responsible for repayment.